cent in 2007, before falling back to 29 per cent in 2016.

From the above, it is clear that Indians have a high propensity to save, which is one of the great strengths of our economy. However, it is also clear that both savings and investment rates have been declining since 2007. The question is, did demonetization have any effect on either the Savings or Investment rate and did it accelerate or reverse this decline?

Impact on Savings

First let us assess the impact on Savings.

India's Gross Domestic Savings Rate (as a percentage of Gross National Disposable Income) averaged between 32.5 per cent and 32.8 per cent in the 10 years between 2003–04 and 2013–14. This dropped to 30.7 per cent in 2015–16 and fell further to 29.6 per cent in 2016–17.[24]

At the level of the Household sector, demonetization resulted in a decline in both Gross financial savings (which fell from 10.8 per cent in 2015–16 to 9.1 per cent in 2016–17) and Net financial savings (which fell from 8.1 per cent in 2015–16 to 6.7 per cent in 2016–17).[25]

This is not surprising given the severely negative impact demonetization had on the jobs and livelihoods of people across the country. As their income vanished, so did their savings.

On the other hand, there is no doubt that there was a significant increase in 'formal' financial savings, post-demonetization, led primarily by a massive surge in bank deposits, as citizens were forced to deposit all their cash holdings and savings into banks.

According to the RBI,[26] between 28 October 2016 and 6 January 2017 (i.e., days immediately prior to and after demonetization, for which fortnightly banking system data are available), total currency in circulation declined by about ₹8,800 billion. In turn, aggregate